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TAB 16



Board of Education Report

File #: Rep-131-23/24, **Version:** 1

Capital Facilities Fund (Developer/Impact Fees) Annual Report for 2022-23

December 12, 2023

Office of the Chief Business Officer

Action Proposed:

Adopt the attached resolution regarding the Capital Facilities Fund Annual Report in accordance with Government Code Sections 66000 et seq.

Background:

Education Code Section 17620 allows school districts to assess fees on residential and commercial construction within their respective boundaries when a reasonable relationship exists between the need for new or reconstructed school facilities and resident, commercial and industrial development. These fees are paid by property owners and developers to school districts to mitigate the impact created by new development within a school district's boundaries on the school facilities.

Developer fee revenues may be used only for the (a) construction and reconstruction of school facilities, (b) costs associated with conducting any study, finding, needs analysis or determination required as part of the process to adopt the developer fee, (c) costs for administering the fee, and (d) costs associated with conducting the meeting(s) required for levying a fee. Education Code section 17620 clarifies that the "construction or reconstruction of school facilities" does not encompass: (a) regular maintenance or routine repair of school buildings and facilities, (b) the inspection, sampling, analysis, encapsulation, or removal of asbestos-containing materials except where incidental to school facilities construction or reconstruction, or (c) or deferred maintenance.

Per the District's policy on the use of Developer Fee proceeds, which was confirmed and clarified on December 8, 2020 (Board Report No. 187-20/21), once the costs related to administering the developer fee and fulfilling the required analysis and reporting duties have been subtracted, the adjusted net developer fee revenue will be allocated to permissible projects that have been approved by the Board of Education (Board), and incorporated into the Facilities Services Division (Facilities) Strategic Execution Plan (SEP). Attachment C lists the expenditures in 2022-23 for the construction and reconstruction of school facilities expenditures on permissible projects.

Per Government Code section 66000 et seq., a school district that collects developer fees is obliged to provide an annual financial report of fees collected, including starting and ending balances, collected fee amounts, and interest earned. This report must be submitted within 180 days after the conclusion of each fiscal year (refer to attachments B and C).

Expected Outcomes:

The District shall be in compliance with Government Code Sections 66000 et seq.

Board Options and Consequences:

If the Board does not adopt the resolutions regarding the annual report, the District shall be out of compliance with the requirements of Government Code Sections 66000 et seq. This may negatively impact the District's ability to assess developer/impact fees or require the refunding of unspent developer fee proceeds.

Policy Implications:

In accordance with the Developer Fee Policy, the Chief Business Officer is presenting the annual report of the Capital Facilities Fund's beginning and ending balances, fees collected, interest and other income received, expenditures by project and refunds made for fiscal year 2022-23.

Budget Impact:

None

Student Impact:

Developer Fees assessed upon new residential, commercial or industrial development projects located within District boundaries are used to provide funds for construction and reconstruction of school facilities to accommodate students generated from new development projects.

Equity Impact:

Not applicable

Issues and Analysis:

Private developments, whether residential or commercial, can take years or even decades to be constructed, and the specific time that a future development will be built cannot be precisely predicted. As such, projecting with good accuracy future developer fee revenue and when the impact will be realized is difficult. Additionally, when private developments are cancelled, the fees previously paid must be returned. Because of this, the receipt of developer fee revenue does not result in the identification of new projects, and net revenues are allocated to the Facilities SEP after received, for use on permissible construction and reconstruction projects.

Eligible projects may include, but are not limited to, additions to existing schools, classroom replacements, comprehensive/major modernizations, seismic modernizations, and new schools when there is enough development activity occurring in a single area.

Attachments:

Attachment A - Resolution of the Board of Education of Los Angeles Unified School District
Adopting the Findings as Contained in the Annual Accounting Report

Attachment B - Description of the Fund and Financial Information

Attachment C - Detailed Listing of Expenditures

Informatives:

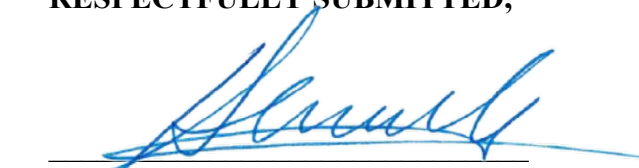
None

Submitted:

11/30/23

File #: Rep-131-23/24, **Version:** 1

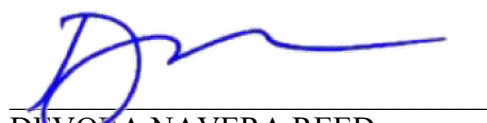
RESPECTFULLY SUBMITTED,


ALBERTO M. CARVALHO
Superintendent

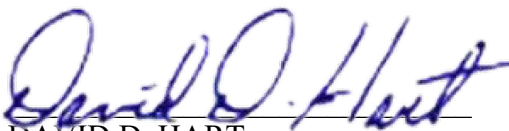
APPROVED BY:


PEDRO SALCIDO
Deputy Superintendent
Office of the Deputy Superintendent

REVIEWED BY:


DEVORA NAVERA REED
General Counsel

APPROVED & PRESENTED BY:


DAVID D. HART
Chief Business Officer
Office of the Chief Business Officer

✓ Approved as to form.

REVIEWED BY:


NOLBERTO DELGADILLO
Deputy Chief Business Officer, Finance

✓ Approved as to budget impact statement.

Attachment A

RESOLUTION OF THE BOARD OF EDUCATION OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT ADOPTING THE ANNUAL ACCOUNTING REPORT

WHEREAS, pursuant to its authority under Education Code Sections 17620 et seq. and Government Code Sections 65995 et seq., the District has assessed residential developer fees and commercial/industrial developer fees on construction and reconstruction projects within its boundaries; and

WHEREAS, the District has placed all fees it has received from such assessments in a separate non-co-mingled capital facilities fund (hereinafter the “Capital Facilities Fund”) established for such purposes pursuant to Government Code Section 66000 et seq; and

WHEREAS, the District has made available to the public within one hundred and eighty (180) days after the last day of its fiscal year, an Annual Capital Facilities Fund Accounting Report (hereinafter “Annual Report”) which describes the type of Capital Facilities Fund into which developer fees were placed, the amount of the fee, the beginning and ending balances of this Fund, the amount of fees collected and interest earned, the identification of expenditures made by project; and

WHEREAS, the Annual Report has determined that in fiscal year 2022-23, no refunds were made due to unexpended developer fee revenues; and

WHEREAS, the District has, at least 15 days prior to the Board of Education meeting, made the Annual Report available to the public by making it available at the Board Secretariat’s Office, the Controller’s Office, and the Developer Fee Program Office; and

WHEREAS, the District has not received any written requests from interested parties for a mailed notice of this meeting; therefore be it

RESOLVED, that the Board adopts the Capital Facilities Fund Annual Report which is attached as Attachment B.

ADOPTED this ____ day of _____ 2023

Jackie Goldberg, President

ATTEST:

Michael McLean, Executive Officer of the Board

ATTACHMENT B
Description of the Fund and Financial Information
LOS ANGELES UNIFIED SCHOOL DISTRICT
CAPITAL FACILITIES ACCOUNT FUND
2022-23 ANNUAL REPORT

I. DESCRIPTION OF FUND

The Capital Facilities Fund is used to account for resources received from developer fees assessed upon residential and commercial/industrial construction or reconstruction projects located within the boundaries of Los Angeles Unified School District (the “District”) in order to provide funds to help relieve overcrowded conditions at District schools.

The rates assessed for Fiscal Year 2022-23 are as follows:

Type	Rate Per Assessable Square Foot		Period in Force
	FY2021-22	FY2022-23 ¹	
Level 1 Residential	\$4.08	\$4.79	7/1/2022-06/30/2023
Level 1 Commercial/Industrial	\$0.66	\$0.78	7/1/2022-06/30/2023
Self-Storage	\$0.32	\$0.24	7/1/2022-06/30/2023
Parking Structures	\$0.44	\$0.34	7/1/2022-06/30/2023

¹The new rates were effective on July 9, 2022.

II. FINANCIAL INFORMATION

Revenues and Other Sources		
Beginning Fund Balance - July 1, 2022		\$ 67,413,683.20
Gross Developer Fees Collection	\$ 113,248,319.95	
Less: Refunds*	(9,978,159.75)	
Net Developer Fees Collection	103,270,160.20	
Unrealized Gain/(Loss) on Investment	1,108,638.94	
Interest Income	1,827,568.21	
Total Revenues		106,206,367.35
Total Revenues and Beginning Balance		\$ 173,620,050.55
Expenditures and Other Uses		
Less: Total Expenditures**		(133,631,641.95)
ENDING FUND BALANCE- June 30, 2023		\$ 39,988,408.60

* Refunds are issued for certain exemptions under the Developer Fee Policy, such as demolition credit and senior citizen housing.

** See Exhibit C for a detailed listing of expenditures.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
CAPITAL FACILITIES ACCOUNT FUND
DETAILED LISTING OF EXPENDITURES
FISCAL YEAR 2022-23**

SAP Project Number	Project Name	Construction Start	Construction Completion	% of Developer Fees to Total Budget	Developer Fees Expenditures FY 22-23
Priority III, Developer Fee Policy					
a) New Construction					
F-300285	Central Los Angeles HS #11	Construction Completed**		65.9%	248,791.32
F-300652	Valley Region Elementary School #10	Construction Completed**		51.1%	136,703.00
F-307671	Colfax Charter ES - Classroom Addition	Construction Completed**		47.0%	393.81
F-300659	South Region Elementary School #7	Construction Completed**		31.7%	(35,903.99)
F-307759	International Studies Learning Center Addition	Construction Completed**		100.0%	1,223,822.51
F-308220	South Gate MS - Phased Portable Removal *	2020 - Q3	2024 - Q3	100.0%	1,377,057.63
F-308111	Playa Vista ES - Classroom Addition	2021 - Q2	N/A***	100.0%	154.00
F-300645	Valley Region HS #4	Construction Completed**		34.2%	489.52
b) Modernization					
F-308139	Burroughs MS - Comprehensive Modernization	2024 - Q2	2027 - Q4	11.1%	18,458,773.65
F-308143	Cleveland HS - Comprehensive Modernization	2019 - Q4	2024 - Q4	39.9%	10,734.62
F-308241	Grant HS - Comprehensive Modernization	2022 - Q2	2026 - Q4	36.0%	6,415,766.24
F-308801	Kennedy HS - Comprehensive Modernization	2022 - Q2	2029 - Q1	4.4%	9,418,776.00
F-308244	North Hollywood HS - Comprehensive Modernization	2020 - Q4	2027 - Q1	16.1%	7,783,593.00
F-308243	Polytechnic HS - Comprehensive Modernization	2023 - Q4	2026 - Q4	25.5%	6,782,235.55
F-308104	Roosevelt HS - Comprehensive Modernization	2024 - Q2	2026 - Q2	23.7%	3,109,998.02
F-308102	San Pedro HS - Comprehensive Modernization	2021 - Q2	2028 - Q4	20.5%	39,304,818.11
F-308105	Sherman Oaks Center for Enriched Studies - Comprehensive Modernization	2021 - Q3	2024 - Q4	42.3%	3,700,541.14
F-308788	Lincoln HS - Comprehensive Modernization	2024 - Q3	2028 - Q2	1.5%	3,520,090.76
F-308789	Taft HS - Comprehensive Modernization	2022 - Q4	2028 - Q4	4.0%	1,614,001.49
F-308794	Elizabeth Learning Center - Comprehensive Modernization	2023 - Q2	2027 - Q3	2.0%	955.00
F-308795	McKinley ES - Comprehensive Modernization	2022 - Q1	2026 - Q3	11.4%	4,908,143.20
F-308140	Venice HS - Comprehensive Modernization	2019 - Q2	2024 - Q3	38.5%	292,368.55
F-308802	Reseda HS - Comprehensive Modernization	2022 - Q4	2026 - Q3	10.6%	15,782,812.25
F-308815	Shenandoah ES - Comprehensive Modernization	2021 - Q4	2025 - Q1	12.7%	7,715,479.56
F-309773	Canyon Charter ES - Classroom Replacement	2022 - Q2	2027 - Q4	4.0%	23,772.17
F-309774	Castle Heights ES - Classroom Replacement	2022 - Q3	2028 - Q2	4.9%	1,068.48
F-309777	Delevan ES - Classroom Replacement	2023 - Q1	2028 - Q3	5.1%	8,266.66
F-309775	Dixie Canyon Community Charter ES - Classroom Replacement	2021 - Q4	2027 - Q2	4.1%	121,718.01
F-309778	Franklin ES - Classroom Replacement	2022 - Q3	2028 - Q3	6.7%	11,730.35
F-309776	South Shores Magnet ES - Classroom Replacement	2020 - Q4	2025 - Q3	13.5%	125,858.38
Priority III, Developer Fee Policy Total					\$ 132,063,008.99
Other Expenditures					
Admin	Collection Costs			100.0%	698,092.41
Admin	Fee Studies/Audit Costs/CLA/Other Costs			100.0%	870,540.55
Other Expenditures Total					\$ 1,568,632.96
GRAND TOTAL					\$ 133,631,641.95

* The project at South Gate MS is part of the scope of the International Studies Learning Center Addition project.

**Construction Completed, Pending Close-out.

***The Playa Vista ES classroom addition project was cancelled by the BOE in May 2023.